CUET Accountancy Test 1

CUET (UG) 2027 · Accountancy / Book Keeping (301) · Duration 60 min · 50 questions to attempt (of 60)

Instructions

- Attempt all 40 questions of Section A.
- Then attempt all 10 questions of EITHER Section B1 (Analysis of Financial Statements) OR Section B2 (Computerised Accounting System) — 50 questions in total.
- Each correct answer earns 5 marks; each incorrect answer deducts 1 mark; unattempted questions earn 0.

Section A — Units I to IV (compulsory)

Q1 · Unit I: Accounting for Partnership

1. In the absence of a partnership deed, a partner who has advanced a loan to the firm is entitled to interest on it at:

A) 12% p.a.

B) 6% p.a.

C) 9% p.a.

D) No interest is allowed

Q2 · Unit I: Accounting for Partnership

2. A partner withdrew ₹6,000 at the end of every month during the year ended 31 March 2026. Interest on drawings is charged at 10% p.a. The interest on drawings will be:

A) ₹3,600

B) ₹3,900

C) ₹3,300

D) ₹7,200

Q3 · Unit I: Accounting for Partnership

3. A, B and C are partners sharing profits in the ratio 3 : 2 : 1. C is guaranteed a minimum profit of ₹40,000 and any deficiency is to be borne by A alone. The firm's profit for the year is ₹1,80,000. A's share of profit will be:

A) ₹80,000

B) ₹90,000

C) ₹84,000

D) ₹50,000

Q4 · Unit I: Accounting for Partnership

4. Consider the following statements about the Profit and Loss Appropriation Account of a partnership firm:
(A) Interest on partners' capital is debited to it.
(B) Interest on a partner's loan is debited to it.
(C) Interest on partners' drawings is credited to it.
(D) Rent paid to a partner for the firm's use of his building is debited to it.
Choose the correct answer from the options given below:

A) (A), (B) and (C) only

B) (B) and (D) only

C) (A), (C) and (D) only

D) (A) and (C) only

Q5 · Unit I: Accounting for Partnership

5. When partners' capitals are fixed, a partner's share of profit, salary and interest on capital are credited to his:

A) Capital Account

B) Current Account

C) Loan Account

D) Drawings Account

Q6 · Unit I: Accounting for Partnership

6. X and Y share profits equally. Their fixed capitals are ₹3,00,000 and ₹2,00,000. After the accounts for the year were closed, it was found that interest on capital at 10% p.a., as provided in the deed, had been omitted. The single adjusting entry will be:

A) Y's Current A/c Dr. ₹5,000; To X's Current A/c ₹5,000

B) X's Current A/c Dr. ₹5,000; To Y's Current A/c ₹5,000

C) Y's Current A/c Dr. ₹20,000; To X's Current A/c ₹20,000

D) P&L Adjustment A/c Dr. ₹50,000; To X's and Y's Current A/cs ₹50,000

Q7 · Unit I: Accounting for Partnership

7. Assertion (A): In the absence of a partnership deed, profits are shared equally among the partners.
Reason (R): In the absence of a partnership deed, profits are shared in the ratio of the partners' capitals.
Choose the correct answer from the options given below:

A) Both Assertion and Reason are true, and Reason is the correct explanation of Assertion

B) Both Assertion and Reason are true, but Reason is not the correct explanation of Assertion

C) Assertion is true, but Reason is false

D) Assertion is false, but Reason is true

Q8 · Unit I: Accounting for Partnership

8. Ravi, a partner, is entitled to a commission of 10% of the net profit after charging such commission. The net profit before charging the commission is ₹2,20,000. Ravi's commission is:

A) ₹22,000

B) ₹24,200

C) ₹18,000

D) ₹20,000

Q9 · Unit II: Reconstitution of a Partnership Firm

9. A and B share profits in the ratio 5 : 3. From 1 April 2026 they decide to share profits equally. Which of the following correctly describes the change?

A) A sacrifices 1/8 and B gains 1/8

B) B sacrifices 1/8 and A gains 1/8

C) A sacrifices 1/2 and B gains 1/2

D) Neither partner sacrifices, as the total share remains the same

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Q10 · Unit II: Reconstitution of a Partnership Firm

10. A and B share profits in the ratio 3 : 2. They admit C for a 1/5th share, which he acquires equally from A and B. The new profit-sharing ratio of A, B and C will be:

A) 3 : 2 : 1

B) 12 : 8 : 5

C) 5 : 3 : 2

D) 2 : 2 : 1

Q11 · Unit II: Reconstitution of a Partnership Firm

11. The profits of a firm for the last four years were: 2021-22 ₹80,000; 2022-23 ₹1,00,000; 2023-24 a loss of ₹20,000; 2024-25 ₹1,20,000. Goodwill is to be valued at two years' purchase of the average profit of these four years. The value of goodwill is:

A) ₹1,60,000

B) ₹1,40,000

C) ₹2,80,000

D) ₹70,000

Q12 · Unit II: Reconstitution of a Partnership Firm

12. A firm earns an average profit of ₹80,000. The normal rate of return in the industry is 10%. The firm's total assets are ₹6,50,000 and its outside liabilities are ₹1,00,000. The value of goodwill by the capitalisation of average profit method is:

A) ₹1,50,000

B) ₹3,00,000

C) ₹8,00,000

D) ₹2,50,000

Q13 · Unit II: Reconstitution of a Partnership Firm

13. Match List-I with List-II:

List-I (Item)
(A) Profit on revaluation at the time of admission
(B) Premium for goodwill brought in by the incoming partner
(C) Retiring partner's share of goodwill
(D) Profit of the reconstituted firm after admission

List-II (Ratio in which it is shared or debited)
(I) Gaining ratio
(II) New profit-sharing ratio
(III) Old profit-sharing ratio
(IV) Sacrificing ratio

Choose the correct answer from the options given below:

A) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)
B) (A)-(IV), (B)-(III), (C)-(I), (D)-(II)
C) (A)-(III), (B)-(I), (C)-(IV), (D)-(II)
D) (A)-(II), (B)-(IV), (C)-(I), (D)-(III)

Q14 · Unit II: Reconstitution of a Partnership Firm

14. Which of the following is credited to the Revaluation Account at the time of reconstitution of a partnership firm?

A) Decrease in the value of assets
B) Increase in the value of assets
C) Increase in the amount of liabilities
D) Recording of an unrecorded liability

Q15 · Unit II: Reconstitution of a Partnership Firm

15. On the admission of a new partner: machinery (book value ₹2,00,000) is revalued at ₹1,80,000; stock is appreciated by ₹15,000; a provision for doubtful debts of ₹4,000 is created; and an unrecorded creditor of ₹6,000 is to be brought into the books. The result of revaluation is:

A) Profit ₹5,000
B) Loss ₹3,000
C) Loss ₹45,000
D) Loss ₹15,000

Q16 · Unit II: Reconstitution of a Partnership Firm

16. A and B share profits in the ratio 2 : 1 and their capitals, after all adjustments, are ₹1,00,000 and ₹80,000. C is admitted for a 1/4th share in profits and brings ₹1,00,000 as capital, but no separate premium for goodwill. The firm's hidden goodwill is:

A) ₹2,20,000
B) ₹30,000
C) ₹1,20,000
D) ₹1,00,000

Q17 · Unit II: Reconstitution of a Partnership Firm

17. Consider the following statements regarding the retirement of a partner:
(A) If the amount due to the retiring partner is not paid immediately, it is transferred to his Loan Account.
(B) Gaining ratio = New ratio − Old ratio.
(C) The retiring partner's share of goodwill is debited to the continuing partners in their gaining ratio.
(D) Profit on revaluation at the time of retirement is credited only to the continuing partners, in their new ratio.
Choose the correct answer from the options given below:

A) (A), (B) and (C) only
B) (A) and (D) only
C) (B), (C) and (D) only
D) (A), (B), (C) and (D)

Q18 · Unit II: Reconstitution of a Partnership Firm

18. A, B and C share profits in the ratio 5 : 3 : 2. B retires and his share is taken over by A and C in the ratio 2 : 1. The new profit-sharing ratio of A and C will be:

A) 5 : 2
B) 7 : 3
C) 2 : 1
D) 3 : 2

Q19 · Unit II: Reconstitution of a Partnership Firm

19. P, Q and R share profits in the ratio 2 : 1 : 1. R died on 30 June 2025. The deed provides that a deceased partner's share of profit till the date of death is to be calculated on the basis of the previous year's profit, which was ₹2,40,000. The firm closes its books on 31 March every year. R's share of profit till the date of death is:

A) ₹60,000
B) ₹20,000
C) ₹30,000
D) ₹15,000

Q20 · Unit II: Reconstitution of a Partnership Firm

20. When a deceased partner's share of profit from the date of the last balance sheet till the date of death is calculated on a time basis, it is recorded by debiting:

A) Revaluation Account
B) Realisation Account
C) Profit and Loss Suspense Account
D) Deceased partner's Capital Account

Q21 · Unit II: Reconstitution of a Partnership Firm

21. At the time of C's admission, the balance sheet of A and B (who share profits in the ratio 3 : 2) shows a General Reserve of ₹60,000. C is admitted for a 1/4th share. The amount of General Reserve credited to A's Capital Account will be:

A) ₹36,000
B) ₹27,000
C) ₹45,000
D) ₹24,000

Q22 · Unit II: Reconstitution of a Partnership Firm

22. On X's retirement, the following balances relating to him were ascertained: Capital ₹1,20,000; share of goodwill ₹30,000; share of loss on revaluation ₹6,000; share of General Reserve ₹18,000. X was paid ₹62,000 in cash and the balance was transferred to his Loan Account. The amount transferred to X's Loan Account is:

A) ₹1,62,000
B) ₹1,12,000
C) ₹70,000
D) ₹1,00,000

Q23 · Unit III: Dissolution of Partnership Firm

23. The Realisation Account prepared at the time of dissolution of a partnership firm is a:

A) Real account
B) Nominal account
C) Personal account
D) Memorandum account

Q24 · Unit III: Dissolution of Partnership Firm

24. Under Section 48 of the Indian Partnership Act, 1932, arrange the following payments made out of the firm's assets on dissolution in the correct order:
(A) Amounts due to partners on account of capital
(B) Debts of the firm to third parties
(C) Loans and advances made by partners (other than capital)
(D) Residue, if any, divided among partners in their profit-sharing ratio
Choose the correct answer from the options given below:

A) (C), (B), (A), (D)
B) (A), (B), (C), (D)
C) (B), (C), (A), (D)
D) (B), (A), (C), (D)

Q25 · Unit III: Dissolution of Partnership Firm

25. On dissolution of a firm: assets (other than cash) with a book value of ₹3,50,000 realised ₹3,10,000; creditors of ₹80,000 accepted ₹76,000 in full settlement; and realisation expenses of ₹5,000 were paid by the firm. The loss on realisation is:

A) ₹41,000

B) ₹45,000

C) ₹36,000

D) ₹49,000

Q26 · Unit III: Dissolution of Partnership Firm

26. Consider the following statements about the dissolution of a partnership firm:
(A) A partner's loan to the firm is transferred to the Realisation Account.
(B) Partners' capital accounts are not transferred to the Realisation Account.
(C) Accumulated profits (General Reserve) are transferred to the partners' capital accounts in their profit-sharing ratio.
(D) Cash and bank balances are not transferred to the Realisation Account.
Choose the correct answer from the options given below:

A) (A), (B) and (C) only

B) (A) and (D) only

C) (C) and (D) only

D) (B), (C) and (D) only

Q27 · Unit III: Dissolution of Partnership Firm

27. On dissolution, partner M takes over the firm's stock (book value ₹50,000) at ₹40,000 and agrees to pay a creditor of ₹20,000 personally. The net amount debited to M's Capital Account in respect of these two transactions is:

A) ₹40,000

B) ₹20,000

C) ₹60,000

D) ₹30,000

Q28 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

28. Read the following case and answer the question that follows.

Vardhan Ltd. invited applications for 40,000 equity shares of ₹10 each, issued at a premium of ₹2 per share. The amount was payable as follows: ₹5 on application (including the premium of ₹2), ₹3 on allotment, and ₹4 on the first and final call. Applications were received for 50,000 shares. Applications for 4,000 shares were rejected and the money was refunded. The remaining applicants were allotted shares on a pro-rata basis, and their excess application money was adjusted towards the amount due on allotment. Mohan, who had applied for 1,150 shares, failed to pay the allotment money and the call money. His shares were forfeited after the call. The forfeited shares were later re-issued at ₹8 per share as fully paid.

Question: The amount refunded to the applicants whose applications were rejected is:

A) ₹12,000
B) ₹30,000
C) ₹20,000
D) ₹50,000

Q29 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

29. Read the following case and answer the question that follows.

Vardhan Ltd. invited applications for 40,000 equity shares of ₹10 each, issued at a premium of ₹2 per share. The amount was payable as follows: ₹5 on application (including the premium of ₹2), ₹3 on allotment, and ₹4 on the first and final call. Applications were received for 50,000 shares. Applications for 4,000 shares were rejected and the money was refunded. The remaining applicants were allotted shares on a pro-rata basis, and their excess application money was adjusted towards the amount due on allotment. Mohan, who had applied for 1,150 shares, failed to pay the allotment money and the call money. His shares were forfeited after the call. The forfeited shares were later re-issued at ₹8 per share as fully paid.

Question: The total excess application money adjusted towards allotment is:

A) ₹30,000
B) ₹20,000
C) ₹18,000
D) ₹50,000

Q30 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

30. Read the following case and answer the question that follows.

Vardhan Ltd. invited applications for 40,000 equity shares of ₹10 each, issued at a premium of ₹2 per share. The amount was payable as follows: ₹5 on application (including the premium of ₹2), ₹3 on allotment, and ₹4 on the first and final call. Applications were received for 50,000 shares. Applications for 4,000 shares were rejected and the money was refunded. The remaining applicants were allotted shares on a pro-rata basis, and their excess application money was adjusted towards the amount due on allotment. Mohan, who had applied for 1,150 shares, failed to pay the allotment money and the call money. His shares were forfeited after the call. The forfeited shares were later re-issued at ₹8 per share as fully paid.

Question: The number of shares allotted to Mohan and the amount he failed to pay on allotment are:

A) 1,150 shares; ₹3,450
B) 1,000 shares; ₹3,000
C) 1,000 shares; ₹2,550
D) 1,000 shares; ₹2,250

Q31 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

31. Read the following case and answer the question that follows.

Vardhan Ltd. invited applications for 40,000 equity shares of ₹10 each, issued at a premium of ₹2 per share. The amount was payable as follows: ₹5 on application (including the premium of ₹2), ₹3 on allotment, and ₹4 on the first and final call. Applications were received for 50,000 shares. Applications for 4,000 shares were rejected and the money was refunded. The remaining applicants were allotted shares on a pro-rata basis, and their excess application money was adjusted towards the amount due on allotment. Mohan, who had applied for 1,150 shares, failed to pay the allotment money and the call money. His shares were forfeited after the call. The forfeited shares were later re-issued at ₹8 per share as fully paid.

Question: On forfeiture of Mohan's shares, the amount credited to the Share Forfeiture Account is:

A) ₹5,750
B) ₹3,750
C) ₹1,750
D) ₹3,000

Q32 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

32. Read the following case and answer the question that follows.

Vardhan Ltd. invited applications for 40,000 equity shares of ₹10 each, issued at a premium of ₹2 per share. The amount was payable as follows: ₹5 on application (including the premium of ₹2), ₹3 on allotment, and ₹4 on the first and final call. Applications were received for 50,000 shares. Applications for 4,000 shares were rejected and the money was refunded. The remaining applicants were allotted shares on a pro-rata basis, and their excess application money was adjusted towards the amount due on allotment. Mohan, who had applied for 1,150 shares, failed to pay the allotment money and the call money. His shares were forfeited after the call. The forfeited shares were later re-issued at ₹8 per share as fully paid.

Question: After the re-issue of the forfeited shares, the amount transferred to Capital Reserve is:

A) ₹3,750
B) ₹2,000
C) ₹1,750
D) ₹1,500

Q33 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

33. Under the Companies Act, 2013, which of the following can a company issue at a discount in the normal course?

A) Equity shares
B) Preference shares
C) Bonus shares
D) Debentures

Q34 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

34. A company issued 5,000, 9% debentures of ₹100 each at a discount of 5%, redeemable at a premium of 10% after five years. The total loss on issue of debentures is:

A) ₹75,000
B) ₹25,000
C) ₹50,000
D) ₹1,00,000

Q35 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

35. Match List-I with List-II with reference to the balance sheet of a company prepared as per Schedule III:

List-I (Item)
(A) Calls in arrears
(B) Securities Premium
(C) 10% Debentures redeemable after 5 years
(D) Interest accrued and due on debentures

List-II (Presentation)
(I) Long-term borrowings
(II) Other current liabilities
(III) Deducted from subscribed capital under 'Share Capital'
(IV) Reserves and Surplus

Choose the correct answer from the options given below:

A) (A)-(IV), (B)-(III), (C)-(I), (D)-(II)
B) (A)-(III), (B)-(IV), (C)-(II), (D)-(I)
C) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)
D) (A)-(II), (B)-(IV), (C)-(I), (D)-(III)

Q36 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

36. Securities Premium can be used by a company for which of the following purposes?
(A) Issuing fully paid bonus shares to its members
(B) Paying dividend to shareholders
(C) Writing off discount allowed on the issue of debentures
(D) Buying back its own shares
Choose the correct answer from the options given below:

A) (A), (B) and (C) only
B) (A), (C) and (D) only
C) (B) and (D) only
D) (A), (B), (C) and (D)

Q37 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

37. Kiran Ltd. purchased assets worth ₹4,40,000 from Sona Traders. The purchase consideration was paid by issuing equity shares of ₹100 each at a premium of 10%. The number of shares issued is:

A) 4,400
B) 4,840
C) 3,600
D) 4,000

Q38 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

38. A shareholder holding 2,000 shares failed to pay the final call of ₹4 per share due on 1 October 2025 and paid it on 31 December 2025. The company has adopted Table F. The interest charged on calls in arrears is:

A) ₹200
B) ₹240
C) ₹800
D) ₹267

Q39 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

39. Leela Ltd. issued ₹5,00,000, 10% debentures on 1 July 2025. The company closes its books on 31 March every year. The interest on debentures for the year 2025-26 is:

A) ₹50,000
B) ₹37,500
C) ₹25,000
D) ₹41,667

Q40 · Unit IV: Company Accounts — Accounting for Share and Debenture Capital

40. Assertion (A): Debentures issued as collateral security may be shown in the balance sheet by way of a note below the loan for which they have been issued.
Reason (R): Interest is payable on debentures issued as collateral security from the date of their issue.
Choose the correct answer from the options given below:

A) Both Assertion and Reason are true, and Reason is the correct explanation of Assertion
B) Both Assertion and Reason are true, but Reason is not the correct explanation of Assertion
C) Assertion is true, but Reason is false
D) Assertion is false, but Reason is true

Section B1 — Unit V: Analysis of Financial Statements

Q41 · Unit V: Analysis of Financial Statements

41. As per Schedule III of the Companies Act, 2013, 'Bills Payable' are shown in the balance sheet of a company under:

A) Trade payables
B) Short-term borrowings
C) Other current liabilities
D) Short-term provisions

Q42 · Unit V: Analysis of Financial Statements

42. In a common-size Statement of Profit and Loss, each item is expressed as a percentage of:

A) Net profit
B) Total assets
C) Revenue from operations
D) Shareholders' funds

Q43 · Unit V: Analysis of Financial Statements

43. A company's current assets are ₹3,00,000, which include inventory of ₹60,000 and prepaid expenses of ₹15,000. Its current liabilities are ₹1,50,000. The quick ratio is:

A) 1.6 : 1
B) 1.5 : 1
C) 2 : 1
D) 1.9 : 1

Q44 · Unit V: Analysis of Financial Statements

44. Match List-I with List-II:

List-I (Ratio)
(A) Interest coverage ratio
(B) Trade receivables turnover ratio
(C) Current ratio
(D) Return on investment

List-II (Type of ratio)
(I) Profitability ratio
(II) Liquidity ratio
(III) Solvency ratio
(IV) Activity ratio

Choose the correct answer from the options given below:

A) (A)-(II), (B)-(IV), (C)-(III), (D)-(I)
B) (A)-(III), (B)-(II), (C)-(IV), (D)-(I)
C) (A)-(I), (B)-(IV), (C)-(II), (D)-(III)
D) (A)-(III), (B)-(IV), (C)-(II), (D)-(I)

Q45 · Unit V: Analysis of Financial Statements

45. For a non-financial company, consider the following statements about the cash flow statement prepared as per AS-3 (Revised):
(A) Interest paid on debentures is a financing activity.
(B) Dividend received on investments is an investing activity.
(C) Purchase of machinery is an investing activity.
(D) Income tax paid on operating profit is a financing activity.
Choose the correct answer from the options given below:

A) (A) and (D) only
B) (B), (C) and (D) only
C) (A), (B) and (C) only
D) (A), (B), (C) and (D)

Q46 · Unit V: Analysis of Financial Statements

46. From the following information, calculate the debt-equity ratio: Long-term borrowings ₹4,00,000; Equity share capital ₹3,00,000; Reserves and surplus ₹2,00,000.

A) 0.8 : 1
B) 1.33 : 1
C) 1.25 : 1
D) 0.44 : 1

Q47 · Unit V: Analysis of Financial Statements

47. Revenue from operations is ₹8,00,000 and the gross profit is 25% of revenue from operations. Opening inventory is ₹90,000 and closing inventory is ₹1,10,000. The inventory turnover ratio is:

A) 8 times
B) 7.27 times
C) 5.45 times
D) 6 times

Q48 · Unit V: Analysis of Financial Statements

48. Net profit before tax is ₹2,00,000. Depreciation charged is ₹30,000; profit on sale of machinery is ₹10,000; trade receivables increased by ₹25,000; and trade payables increased by ₹15,000. Cash generated from operations (before tax) is:

A) ₹2,30,000
B) ₹2,10,000
C) ₹2,20,000
D) ₹1,80,000

Q49 · Unit V: Analysis of Financial Statements

49. Machinery (net of depreciation) was ₹5,00,000 at the beginning of the year and ₹6,00,000 at the end. Depreciation charged during the year was ₹70,000. Machinery with a book value of ₹40,000 was sold for ₹35,000. Net cash used in investing activities in respect of machinery is:

A) ₹1,75,000
B) ₹2,10,000
C) ₹1,70,000
D) ₹1,05,000

Q50 · Unit V: Analysis of Financial Statements

50. A company's current ratio is 2.5 : 1 and its working capital is ₹1,80,000. If it now pays a trade creditor ₹20,000 in cash, its new current ratio will be:

A) 2.5 : 1
B) 2.3 : 1
C) 2.8 : 1
D) 2.6 : 1

Section B2 — Optional to Unit V: Computerised Accounting System

Q51 · Optional to Unit V: Computerised Accounting System

51. In a computerised accounting system, giving every account a unique code so that accounts are grouped into a hierarchy (for example, 1000 Assets → 1100 Current Assets → 1110 Cash) is known as:

A) Data validation
B) Codification of accounts
C) Data back-up
D) Audit trail

Q52 · Optional to Unit V: Computerised Accounting System

52. Which spreadsheet function calculates depreciation under the straight-line method?

A) =PMT()
B) =DDB()
C) =NPV()
D) =SLN()

Q53 · Optional to Unit V: Computerised Accounting System

53. A machine is purchased for ₹1,10,000. Its estimated salvage value is ₹10,000 and its useful life is 5 years. The value returned by =SLN(110000,10000,5) is:

A) 20,000
B) 22,000
C) 18,000
D) 24,000

Q54 · Optional to Unit V: Computerised Accounting System

54. Match List-I with List-II:

List-I
(A) Ready-to-use accounting software
(B) Customised accounting software
(C) Tailor-made accounting software
(D) Accounting Information System (AIS)

List-II
(I) Developed specially to meet the unique requirements of a large organisation
(II) A standard package modified to suit the specific needs of the user
(III) A low-cost standard package suitable for small businesses with few transactions
(IV) A system that collects, stores and processes financial data to provide information to decision-makers

Choose the correct answer from the options given below:

A) (A)-(I), (B)-(II), (C)-(III), (D)-(IV)
B) (A)-(III), (B)-(I), (C)-(II), (D)-(IV)
C) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)
D) (A)-(II), (B)-(III), (C)-(I), (D)-(IV)

Q55 · Optional to Unit V: Computerised Accounting System

55. Consider the following statements about a computerised accounting system:
(A) It processes large volumes of transactions faster than a manual system.
(B) It removes the need for any internal control.
(C) Reports such as the trial balance can be generated instantly.
(D) Data may be lost if a regular back-up is not maintained.
Choose the correct answer from the options given below:

A) (A) and (B) only
B) (B), (C) and (D) only
C) (A), (B), (C) and (D)
D) (A), (C) and (D) only

Q56 · Optional to Unit V: Computerised Accounting System

56. Cell D2 of a spreadsheet contains the formula =B2*C1. If this formula is copied to cell D3, it will become:

A) =B2*C1
B) =B3*C1
C) =B3*C2
D) =C3*D1

Q57 · Optional to Unit V: Computerised Accounting System

57. A pivot table in a spreadsheet is mainly used to:

A) Protect a worksheet with a password
B) Check formulas for spelling errors
C) Summarise and analyse large data by grouping it
D) Convert a worksheet into a PDF file

Q58 · Optional to Unit V: Computerised Accounting System

58. A loan of ₹1,00,000 is to be repaid in 2 equal annual instalments at an interest rate of 10% p.a., each instalment being paid at the end of the year. The instalment returned by =PMT(10%,2,-100000) is closest to:

A) ₹57,619
B) ₹55,000
C) ₹60,500
D) ₹50,000

Q59 · Optional to Unit V: Computerised Accounting System

59. Which error value does a spreadsheet display when a formula refers to a cell that has been deleted?

A) #VALUE!
B) #NAME?
C) #DIV/0!
D) #REF!

Q60 · Optional to Unit V: Computerised Accounting System

60. In a payroll spreadsheet, an employee's basic pay is ₹40,000. Dearness Allowance (DA) is 50% of basic pay; House Rent Allowance (HRA) is 20% of (basic pay + DA); and the Provident Fund (PF) deduction is 12% of (basic pay + DA). The employee's net salary is:

A) ₹72,000

B) ₹64,800

C) ₹67,200

D) ₹60,000

Answer key

Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10
B	C	A	D	B	A	C	D	A	C
Q11	**Q12**	**Q13**	**Q14**	**Q15**	**Q16**	**Q17**	**Q18**	**Q19**	**Q20**
B	D	A	B	D	C	A	B	D	C
Q21	**Q22**	**Q23**	**Q24**	**Q25**	**Q26**	**Q27**	**Q28**	**Q29**	**Q30**
A	D	B	C	A	D	B	C	A	D
Q31	**Q32**	**Q33**	**Q34**	**Q35**	**Q36**	**Q37**	**Q38**	**Q39**	**Q40**
B	C	D	A	C	B	D	A	B	C
Q41	**Q42**	**Q43**	**Q44**	**Q45**	**Q46**	**Q47**	**Q48**	**Q49**	**Q50**
A	C	B	D	C	A	D	B	A	C
Q51	**Q52**	**Q53**	**Q54**	**Q55**	**Q56**	**Q57**	**Q58**	**Q59**	**Q60**
B	D	A	C	D	B	C	A	D	B

Solutions and explanations

Q1 easy direct Provisions applicable in the absence of a partnership deed

Answer: (B) 6% p.a.
Why: When there is no deed, Section 13(d) of the Indian Partnership Act, 1932 applies — a partner's loan (an advance over and above his capital) carries interest at 6% p.a. It is a charge against profit, so it is payable even if the firm incurs a loss.
Why not the others:
(A) 12% p.a. would apply only if the partners had agreed on it in a deed.
(C) The Act prescribes no 9% rate.
(D) 'No interest' is the rule for interest on capital, not for a partner's loan.
Key point: No deed → profits shared equally, no interest on capital, no salary or commission, but 6% p.a. interest on partners' loans.

Q2 medium numerical Interest on drawings

Answer: (C) ₹3,300
Given: ₹6,000 withdrawn at the END of each month for 12 months; rate 10% p.a.
Formula: Interest = Total drawings × Rate × Average period ÷ 12. For equal monthly drawings at the end of each month, average period = (11 + 0) ÷ 2 = 5.5 months.
Step 1: Total drawings = ₹6,000 × 12 = ₹72,000
Step 2: Interest = ₹72,000 × 10/100 × 5.5/12 = ₹3,300
Common mistake: Taking 6 months (drawings in the middle of the month) gives ₹3,600 (A); 6.5 months (beginning of the month) gives ₹3,900 (B); charging interest for the full year gives ₹7,200 (D).

Q3 medium numerical Guarantee of profit to a partner

Answer: (A) ₹80,000
Given: Ratio 3 : 2 : 1; profit ₹1,80,000; C guaranteed ₹40,000; deficiency borne by A only.
Step 1: C's normal share = ₹1,80,000 × 1/6 = ₹30,000
Step 2: Deficiency = ₹40,000 − ₹30,000 = ₹10,000
Step 3: A's normal share = ₹1,80,000 × 3/6 = ₹90,000; after bearing the deficiency = ₹90,000 − ₹10,000 = ₹80,000 (B gets ₹60,000 and C gets ₹40,000; total ₹1,80,000).
Common mistake: Ignoring the guarantee gives ₹90,000 (B); sharing the deficiency between A and B in 3 : 2 gives ₹84,000 (C); deducting the entire guaranteed amount from A gives ₹50,000 (D).

Q4 medium statements Profit and Loss Appropriation Account

Answer: (D) (A) and (C) only
Why: The Appropriation Account shows how profit is divided among partners. Items that are appropriations of profit — interest on capital (debit), interest on drawings (credit), salary or commission to partners (debit) — go here.
Why not the others:
(A) and (C) of the options include statement (B) or (D) — but interest on a partner's loan and rent paid to a partner are charges against profit. They are debited to the Profit and Loss Account, not the Appropriation Account, because they are payable whether or not the firm earns a profit.
(B) contains only the two incorrect statements.
Key point: Charge against profit (loan interest, rent to partner) → P&L Account; appropriation of profit (interest on capital, salary, commission, interest on drawings) → P&L Appropriation Account.

Q5 easy direct Fixed versus fluctuating capital

Answer: (B) Current Account
Why: Under the fixed capital method each partner has two accounts. The Capital Account records only the original capital (and any additional capital or permanent withdrawal). All regular adjustments — share of profit, salary, commission, interest on capital, drawings and interest on drawings — are recorded in the Current Account.
Why not the others:
(A) Crediting the Capital Account is the fluctuating capital method.
(C) A Loan Account records a partner's loan to the firm, not his share of profit.
(D) The Drawings Account records withdrawals and is closed to the Current Account.
Key point: Fixed capital → two accounts per partner (Capital + Current); fluctuating capital → one account.

Q6 hard numerical Past adjustments

Answer: (A) Y's Current A/c Dr. ₹5,000; To X's Current A/c ₹5,000
Given: Capitals X ₹3,00,000, Y ₹2,00,000; ratio 1 : 1; omitted interest on capital @ 10% p.a.
Step 1: Interest that should have been credited: X ₹30,000; Y ₹20,000; total ₹50,000
Step 2: The same ₹50,000 was wrongly distributed as profit, so it must be taken back in the profit ratio 1 : 1: X ₹25,000; Y ₹25,000
Step 3: Net effect: X = +₹30,000 − ₹25,000 = +₹5,000 (credit); Y = +₹20,000 − ₹25,000 = −₹5,000 (debit)
Step 4: Single entry: Y's Current A/c Dr. ₹5,000; To X's Current A/c ₹5,000
Common mistake: Reversing the direction gives (B); using only Y's interest of ₹20,000 gives (C); (D) records the interest but forgets to take back the profit already distributed.

Q7 medium assertion-reason Division of profit in the absence of a deed

Answer: (C) Assertion is true, but Reason is false
Why: Section 13(b) of the Indian Partnership Act, 1932 says that, unless otherwise agreed, partners share profits and losses equally — so the Assertion is true. The Reason is false: the amount of capital contributed has no bearing on the profit-sharing ratio when there is no deed.
Why not the others:
(A) and (B) need the Reason to be true, which it is not.
(D) The Assertion is a correct statement of the law.
Key point: No deed → equal sharing, regardless of unequal capitals.

Q8 medium numerical Commission to a partner

Answer: (D) ₹20,000
Given: Net profit before commission ₹2,20,000; commission 10% of profit AFTER charging the commission.
Formula: Commission = Profit before commission × Rate ÷ (100 + Rate)
Step 1: Commission = ₹2,20,000 × 10/110 = ₹20,000
Step 2: Check: profit after commission = ₹2,00,000, and 10% of ₹2,00,000 = ₹20,000 ✔
Common mistake: Taking 10% of the profit before commission gives ₹22,000 (A); using 110/100 instead of 10/110 gives ₹24,200 (B); deducting 10% twice gives ₹18,000 (C).

Q9 medium numerical Change in profit-sharing ratio — sacrificing and gaining ratio

Answer: (A) A sacrifices 1/8 and B gains 1/8
Given: Old ratio 5 : 3 (5/8, 3/8); new ratio 1 : 1 (4/8, 4/8).
Formula: Sacrifice (or gain) = Old share − New share. A positive result is a sacrifice; a negative result is a gain.
Step 1: A = 5/8 − 4/8 = 1/8 → sacrifice
Step 2: B = 3/8 − 4/8 = −1/8 → gain of 1/8
Common mistake: Using New − Old reverses the result (B); comparing the new share itself (1/2) with nothing gives (C); (D) confuses the unchanged total (1) with the change in individual shares.

Q10 medium numerical Admission of a partner — new profit-sharing ratio

Answer: (C) 5 : 3 : 2
Given: Old ratio 3 : 2; C gets 1/5, taken EQUALLY from A and B (1/10 each).
Step 1: A's new share = 3/5 − 1/10 = 6/10 − 1/10 = 5/10
Step 2: B's new share = 2/5 − 1/10 = 4/10 − 1/10 = 3/10
Step 3: C's share = 1/5 = 2/10
Step 4: New ratio = 5 : 3 : 2
Common mistake: If C took his share from A and B in their old ratio, the answer would be 12 : 8 : 5 (B). (A) simply adds C at 1 without calculating; (D) gives C a share of 1/5 but splits the rest equally.

Q11 medium numerical Goodwill — average profit method

Answer: (B) ₹1,40,000
Given: Profits ₹80,000, ₹1,00,000, (₹20,000) loss, ₹1,20,000; 2 years' purchase.
Formula: Goodwill = Average profit × Number of years' purchase
Step 1: Total profit = 80,000 + 1,00,000 − 20,000 + 1,20,000 = ₹2,80,000
Step 2: Average profit = ₹2,80,000 ÷ 4 = ₹70,000
Step 3: Goodwill = ₹70,000 × 2 = ₹1,40,000
Common mistake: Adding the loss instead of deducting it gives an average of ₹80,000 and goodwill of ₹1,60,000 (A). ₹2,80,000 (C) is the total profit, and ₹70,000 (D) is the average profit — neither has been multiplied by the years' purchase.

Q12 hard numerical Goodwill — capitalisation of average profit method

Answer: (D) ₹2,50,000
Given: Average profit ₹80,000; normal rate 10%; total assets ₹6,50,000; outside liabilities ₹1,00,000.
Formula: Goodwill = Capitalised value of average profit − Net assets (capital employed)
Step 1: Capitalised value = ₹80,000 × 100/10 = ₹8,00,000
Step 2: Net assets = ₹6,50,000 − ₹1,00,000 = ₹5,50,000
Step 3: Goodwill = ₹8,00,000 − ₹5,50,000 = ₹2,50,000
Common mistake: Forgetting to deduct outside liabilities gives ₹8,00,000 − ₹6,50,000 = ₹1,50,000 (A). (C) is the capitalised value itself. (B) would require net assets of ₹5,00,000, which the data does not give.

Q13 medium match-list Ratios used at reconstitution

Answer: (A) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)
Why:
(A) Revaluation profit belongs to the period before admission, so it goes to the old partners in the OLD ratio → (III).
(B) Goodwill premium compensates the old partners for the share they give up, so it is credited in the SACRIFICING ratio → (IV).
(C) On retirement, the continuing partners who gain the retiring partner's share pay for it in the GAINING ratio → (I).
(D) After admission, profits are shared in the NEW ratio → (II).
Why not the others: (B) swaps old and sacrificing ratios; (C) swaps sacrificing and gaining ratios; (D) applies the new ratio to revaluation profit.
Key point: Before the change → old ratio; compensation on admission → sacrificing ratio; compensation on retirement → gaining ratio; after the change → new ratio.

Q14 easy direct Revaluation of assets and reassessment of liabilities

Answer: (B) Increase in the value of assets
Why: The Revaluation Account is credited with gains — an increase in the value of assets or a decrease in liabilities — and debited with losses.
Why not the others:
(A) A fall in asset value is a loss, so it is debited.
(C) A rise in liabilities is a loss, so it is debited.
(D) An unrecorded liability increases what the firm owes, so it is also a loss (debit).
Key point: Gains (assets ↑, liabilities ↓) → credit; losses (assets ↓, liabilities ↑) → debit.

Q15 medium numerical Revaluation Account — net result

Answer: (D) Loss ₹15,000
Given: Machinery –₹20,000; stock +₹15,000; provision for doubtful debts –₹4,000; unrecorded creditor –₹6,000.
Step 1: Losses (debit side) = 20,000 + 4,000 + 6,000 = ₹30,000
Step 2: Gains (credit side) = ₹15,000
Step 3: Net result = ₹15,000 – ₹30,000 = loss of ₹15,000, shared by the old partners in the old ratio.
Common mistake: Treating the unrecorded creditor as a gain gives a loss of ₹3,000 (B); treating both the provision and the creditor as gains gives a profit of ₹5,000 (A); treating the stock appreciation as a loss gives a loss of ₹45,000 (C).

Q16 hard numerical Hidden goodwill

Answer: (C) ₹1,20,000
Given: C brings ₹1,00,000 for a 1/4 share; old partners' adjusted capitals total ₹1,80,000.
Formula: Hidden goodwill = Implied total capital of the new firm – Actual total capital of all partners
Step 1: Implied total capital = ₹1,00,000 × 4/1 = ₹4,00,000
Step 2: Actual total capital = ₹1,00,000 + ₹80,000 + ₹1,00,000 = ₹2,80,000
Step 3: Hidden goodwill = ₹4,00,000 – ₹2,80,000 = ₹1,20,000
Common mistake: Leaving out C's own capital gives ₹2,20,000 (A). ₹30,000 (B) is C's 1/4 share of the goodwill, not the firm's goodwill. ₹1,00,000 (D) is C's capital.

Q17 medium statements Retirement of a partner

Answer: (A) (A), (B) and (C) only
Why:
(A) True — an unpaid balance becomes a liability of the firm and is shown in the retiring partner's Loan Account.
(B) True — each continuing partner's gain is the excess of his new share over his old share.
(C) True — the partners who gain the retiring partner's share compensate him in the gaining ratio.
(D) False — revaluation profit relates to the period up to retirement, so it is shared by ALL partners, including the retiring partner, in the OLD ratio.
Why not the others: (B) and (C) of the options include the false statement (D); option (D) includes it too.
Key point: Revaluation result and accumulated reserves always go to all old partners in the old ratio.

Q18 hard numerical Retirement — new ratio of continuing partners

Answer: (B) 7 : 3
Given: Old ratio 5 : 3 : 2; B's share 3/10 is taken by A and C in 2 : 1.
Step 1: A's gain = 3/10 × 2/3 = 2/10; C's gain = 3/10 × 1/3 = 1/10
Step 2: A's new share = 5/10 + 2/10 = 7/10
Step 3: C's new share = 2/10 + 1/10 = 3/10
Step 4: New ratio of A : C = 7 : 3
Common mistake: Just deleting B and keeping A and C's old ratio gives 5 : 2 (A). 2 : 1 (C) is the gaining ratio, not the new ratio. Splitting B's share in the reverse ratio 1 : 2 gives 6/10 and 4/10 = 3 : 2 (D).

Q19 medium numerical Death of a partner — share of profit till the date of death

Answer: (D) ₹15,000
Given: Previous year's profit ₹2,40,000; R's share 1/4; period 1 April to 30 June 2025 = 3 months.
Step 1: Profit for 3 months on time basis = ₹2,40,000 × 3/12 = ₹60,000
Step 2: R's share = ₹60,000 × 1/4 = ₹15,000
Common mistake: ₹60,000 (A) is R's share for a full year (or the firm's profit for 3 months). Counting 4 months (April to July) gives ₹20,000 (B); counting 6 months gives ₹30,000 (C).

Q20 medium direct Death of a partner — accounting entry for share of profit

Answer: (C) Profit and Loss Suspense Account
Why: The firm's books are not closed on the date of death, so the actual profit for that part-year is not yet known. The estimated share is credited to the deceased partner's Capital Account and debited to a temporary 'Profit and Loss Suspense Account', which is closed when the year's accounts are prepared.
Why not the others:
(A) Revaluation Account records changes in the values of assets and liabilities.
(B) Realisation Account is opened only on dissolution of the firm.
(D) The deceased partner's Capital Account is CREDITED with his share, not debited.
Key point: Entry → Profit and Loss Suspense A/c Dr.; To Deceased Partner's Capital A/c.

Q21 medium numerical Admission — distribution of accumulated reserves

Answer: (A) ₹36,000
Given: General Reserve ₹60,000; old ratio of A and B 3 : 2.
Why this method: The reserve was built up from profits earned before C joined, so it belongs only to the old partners and is shared in the OLD ratio. C gets nothing from it.
Step 1: A's share = ₹60,000 × 3/5 = ₹36,000 (B's share = ₹24,000)
Common mistake: Giving C a share of the reserve and taking 3/4 of A's amount gives ₹27,000 (B). ₹45,000 (C) is 3/4 of the whole reserve. ₹24,000 (D) is B's share, not A's.

Q22 hard numerical Retirement — amount due and Loan Account

Answer: (D) ₹1,00,000
Given: Capital ₹1,20,000; goodwill +₹30,000; revaluation loss –₹6,000; General Reserve +₹18,000; cash paid ₹62,000.
Step 1: Amount due = 1,20,000 + 30,000 – 6,000 + 18,000 = ₹1,62,000
Step 2: Balance transferred to Loan Account = ₹1,62,000 – ₹62,000 = ₹1,00,000
Common mistake: ₹1,62,000 (A) is the total due before the cash payment. Adding the revaluation loss instead of deducting it gives ₹1,74,000 – ₹62,000 = ₹1,12,000 (B). Leaving out the goodwill gives ₹1,32,000 – ₹62,000 = ₹70,000 (C).

Q23 easy direct Nature of Realisation Account

Answer: (B) Nominal account

Why: The Realisation Account finds the profit or loss on selling the assets and settling the liabilities. Because it ends in a profit or loss that is transferred to the partners' capital accounts, it is a nominal account.

Why not the others:

(A) Real accounts record assets; the assets are only transferred into the Realisation Account.

(C) Personal accounts record persons, such as partners' capital accounts.

(D) A memorandum account is not part of the double-entry system, but the Realisation Account is.

Key point: Realisation Account → nominal; its balance = profit or loss on realisation, shared in the profit-sharing ratio.

Q24 medium sequence Order of settlement of accounts (Section 48)

Answer: (C) (B), (C), (A), (D)

Why: Section 48(b) lays down the order in which the firm's assets (including contributions made to cover any deficiency) are applied:

1. Debts of the firm to third parties — outsiders are paid first → (B)
2. Advances made by partners, as distinct from capital → (C)
3. Amounts due to partners on account of capital → (A)
4. Any residue, divided in the profit-sharing ratio → (D)

Why not the others: (A) pays partners' loans before outsiders; (B) pays capital first; (D) pays capital before partners' loans.

Key point: Outsiders → partners' loans → partners' capital → surplus.

Q25 hard numerical Realisation Account — profit or loss

Answer: (A) ₹41,000

Given: Assets ₹3,50,000 realised ₹3,10,000; creditors ₹80,000 settled at ₹76,000; expenses ₹5,000.

Step 1: Debit side of Realisation A/c = Assets ₹3,50,000 + Cash paid to creditors ₹76,000 + Expenses ₹5,000 = ₹4,31,000

Step 2: Credit side = Creditors transferred ₹80,000 + Cash from assets ₹3,10,000 = ₹3,90,000

Step 3: Loss = ₹4,31,000 − ₹3,90,000 = ₹41,000 (that is: loss on assets ₹40,000 − discount from creditors ₹4,000 + expenses ₹5,000)

Common mistake: Ignoring the creditors' discount gives ₹45,000 (B); ignoring the expenses gives ₹36,000 (C); treating the discount as a loss gives ₹49,000 (D).

Q26 medium statements Accounts not transferred to the Realisation Account

Answer: (D) (B), (C) and (D) only
Why:
(A) False — a partner's loan is settled separately (by paying the partner through the Partner's Loan A/c), after outside liabilities and before capital.
(B) True — capital accounts are where the final settlement with partners takes place.
(C) True — reserves are undistributed profits of the partners, so they are credited to their capital accounts in the profit-sharing ratio.
(D) True — cash and bank are what the realisation produces, so they stay in the Cash/Bank Account.
Why not the others: (A) and (B) of the options include the false statement (A); (C) leaves out the true statement (B).
Key point: Realisation A/c takes assets (except cash, bank and fictitious assets) and outside liabilities only.

Q27 medium numerical Asset taken over and liability paid by a partner

Answer: (B) ₹20,000
Given: Stock taken over at ₹40,000 (agreed value); creditor ₹20,000 paid by M personally.
Step 1: Asset taken over → M's Capital A/c Dr. ₹40,000; To Realisation A/c ₹40,000 (always at the agreed value, not the book value)
Step 2: Liability paid by the partner → Realisation A/c Dr. ₹20,000; To M's Capital A/c ₹20,000
Step 3: Net effect on M's Capital A/c = ₹40,000 debit – ₹20,000 credit = ₹20,000 net debit
Common mistake: Ignoring the creditor gives ₹40,000 (A); adding both amounts gives ₹60,000 (C); using the book value of stock gives ₹50,000 – ₹20,000 = ₹30,000 (D).

Q28 easy case-based Over-subscription — refund of application money

Answer: (C) ₹20,000
Given: 4,000 shares rejected; application money ₹5 per share (including premium).
Step 1: Refund = 4,000 × ₹5 = ₹20,000 (the whole application money, premium included, is returned on rejected applications)
Common mistake: Using only the capital part of ₹3 gives ₹12,000 (A). ₹30,000 (B) is the excess money of the pro-rata applicants, which is adjusted against allotment, not refunded. ₹50,000 (D) treats all 10,000 excess shares as refunded.

Q29 medium case-based Pro-rata allotment — excess application money

Answer: (A) ₹30,000
Given: Pro-rata applicants applied for 50,000 – 4,000 = 46,000 shares and were allotted 40,000.
Step 1: Excess shares applied for = 46,000 – 40,000 = 6,000
Step 2: Excess money = 6,000 × ₹5 = ₹30,000, adjusted against allotment
Common mistake: ₹20,000 (B) is the refund on rejected applications. Using ₹3 per share instead of ₹5 gives ₹18,000 (C). ₹50,000 (D) wrongly uses all 10,000 excess shares.

Q30 medium case-based Pro-rata allotment — calls in arrears on allotment

Answer: (D) 1,000 shares; ₹2,250
Given: Pro-rata ratio = 46,000 applied : 40,000 allotted = 23 : 20; Mohan applied for 1,150 shares.
Step 1: Shares allotted = 1,150 × 20/23 = 1,000
Step 2: Application money paid = 1,150 × ₹5 = ₹5,750; required for 1,000 shares = ₹5,000; excess = ₹750
Step 3: Allotment due = 1,000 × ₹3 = ₹3,000; less excess ₹750 = ₹2,250 unpaid
Common mistake: Allotting the full 1,150 shares gives (A). Forgetting the excess adjustment gives ₹3,000 (B). Valuing the excess at ₹3 per share (150 × ₹3 = ₹450) gives ₹2,550 (C).

Q31 hard case-based Forfeiture of shares

Answer: (B) ₹3,750
Given: 1,000 shares fully called up (₹10 each); unpaid allotment ₹2,250; unpaid call 1,000 × ₹4 = ₹4,000. The premium was received with the application money, so Securities Premium is not touched.
Formula: Share Forfeiture = Called-up capital − Calls unpaid (= capital money actually received)
Step 1: Share Capital A/c Dr. = 1,000 × ₹10 = ₹10,000
Step 2: Calls unpaid = ₹2,250 + ₹4,000 = ₹6,250
Step 3: Share Forfeiture A/c Cr. = ₹10,000 − ₹6,250 = ₹3,750 (application ₹3,000 towards capital + excess ₹750 adjusted on allotment)
Common mistake: ₹5,750 (A) includes the ₹2,000 premium, which is not forfeited. ₹3,000 (D) ignores the excess ₹750 adjusted on allotment. ₹1,750 (C) is the capital reserve after re-issue.

Q32 medium case-based Re-issue of forfeited shares — capital reserve

Answer: (C) ₹1,750
Given: Forfeited amount on 1,000 shares = ₹3,750; re-issued at ₹8 as fully paid (₹10 face value), so the discount is ₹2 per share.
Step 1: Discount on re-issue = 1,000 × ₹2 = ₹2,000, debited to Share Forfeiture A/c
Step 2: Balance in Share Forfeiture A/c = ₹3,750 − ₹2,000 = ₹1,750
Step 3: This balance is a capital profit → Share Forfeiture A/c Dr. ₹1,750; To Capital Reserve A/c ₹1,750
Common mistake: Transferring the whole forfeited amount gives ₹3,750 (A). ₹2,000 (B) is the discount on re-issue. Deducting the unpaid allotment of ₹2,250 instead of the discount gives ₹1,500 (D).

Q33 easy direct Issue of securities at a discount

Answer: (D) Debentures
Why: Section 53 of the Companies Act, 2013 prohibits a company from issuing shares at a discount (the only exception is sweat equity shares). Debentures are a form of borrowing and may be issued at par, at a premium or at a discount.
Why not the others:
(A) and (B) Equity and preference shares cannot be issued at a discount — such an issue is void.
(C) Bonus shares are issued free to existing shareholders as fully paid, so the question of a discount does not arise.
Key point: Shares → par or premium only; debentures → par, premium or discount.

Q34 medium numerical Loss on issue of debentures

Answer: (A) ₹75,000
Given: 5,000 debentures of ₹100; issued at 5% discount; redeemable at 10% premium.
Formula: Loss on issue = Discount on issue + Premium on redemption
Step 1: Discount on issue = 5,000 × ₹5 = ₹25,000
Step 2: Premium on redemption = 5,000 × ₹10 = ₹50,000 (credited to Premium on Redemption of Debentures A/c, a liability)
Step 3: Loss on issue = ₹25,000 + ₹50,000 = ₹75,000
Common mistake: ₹25,000 (B) counts only the discount; ₹50,000 (C) counts only the redemption premium; ₹1,00,000 (D) uses 20% instead of 15%.

Q35 medium match-list Presentation of share capital and debentures in the balance sheet

Answer: (C) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)
Why:
(A) Calls in arrears are shown as a deduction from 'Subscribed but not fully paid' capital in the notes to Share Capital → (III).
(B) Securities Premium is a capital reserve shown under Reserves and Surplus → (IV).
(C) Debentures repayable after more than 12 months are Long-term borrowings → (I).
(D) Interest that has accrued and fallen due is payable within the year → Other current liabilities → (II).
Why not the others: (A) swaps calls in arrears and securities premium; (B) swaps the two debenture items; (D) treats calls in arrears as a liability.
Key point: Long-term debt → non-current liabilities; interest due on it → current liabilities.

Q36 medium statements Uses of Securities Premium (Section 52)

Answer: (B) (A), (C) and (D) only
Why: Section 52(2) of the Companies Act, 2013 allows Securities Premium to be used only for: issuing fully paid bonus shares; writing off preliminary expenses; writing off expenses of, commission paid on, or discount allowed on any issue of shares or debentures; providing for the premium payable on redemption of preference shares or debentures; and buying back its own shares.
Why not the others: Paying dividend (statement B) is NOT a permitted use — Securities Premium is a capital receipt and cannot be distributed as dividend. Options (A), (C) and (D) all include statement (B).
Key point: Securities Premium → capital purposes only, never dividend.

Q37 medium numerical Issue of shares for consideration other than cash

Answer: (D) 4,000
Given: Purchase consideration ₹4,40,000; issue price = ₹100 + 10% premium = ₹110 per share.
Formula: Number of shares = Purchase consideration ÷ Issue price
Step 1: Number of shares = ₹4,40,000 ÷ ₹110 = 4,000 shares (Share Capital ₹4,00,000 + Securities Premium ₹40,000)
Common mistake: Dividing by the face value of ₹100 gives 4,400 (A). Multiplying instead of dividing gives 4,840 (B). Treating the premium as a discount gives 3,600 (C).

Q38 medium numerical Calls in arrears — interest (Table F)

Answer: (A) ₹200
Given: Arrears = 2,000 × ₹4 = ₹8,000; delay = 1 October to 31 December = 3 months; Table F rate on calls in arrears = 10% p.a.
Step 1: Interest = ₹8,000 × 10/100 × 3/12 = ₹200
Common mistake: Using the Table F rate for calls in ADVANCE (12% p.a.) gives ₹240 (B). Charging for a full year gives ₹800 (C). Counting 4 months gives ₹267 (D).

Q39 medium numerical Interest on debentures

Answer: (B) ₹37,500
Given: Debentures ₹5,00,000 @ 10% p.a.; outstanding from 1 July 2025 to 31 March 2026 = 9 months.
Step 1: Interest = ₹5,00,000 × 10/100 × 9/12 = ₹37,500 (a charge against profit, debited to the Statement of Profit and Loss)
Common mistake: Charging a full year gives ₹50,000 (A); 6 months gives ₹25,000 (C); 10 months gives ₹41,667 (D).

Q40 hard assertion-reason Debentures issued as collateral security

Answer: (C) Assertion is true, but Reason is false
Why: Collateral debentures are issued only as secondary security for a loan. They may be shown either by a note below the loan (first method) or by recording them and deducting 'Debentures Suspense A/c' (second method), so the Assertion is true. The Reason is false: no interest is payable on collateral debentures — interest is paid only on the actual loan. The debentures become a real liability only if the lender enforces them on default.
Why not the others:
(A) and (B) need the Reason to be true.
(D) The Assertion correctly states one of the two accepted methods.
Key point: Collateral debentures → no cash received, no interest, no extra liability unless the security is enforced.

Q41 easy direct Financial statements of a company — Schedule III headings

Answer: (A) Trade payables
Why: Trade payables are amounts owed to suppliers for goods and services bought in the normal course of business. They include both creditors and bills payable, and are shown under Current Liabilities.
Why not the others:
(B) Short-term borrowings are loans repayable within 12 months, such as a bank overdraft.
(C) Other current liabilities include items like unpaid dividends, interest accrued and calls in advance.
(D) Short-term provisions include the provision for tax and similar items.
Key point: Creditors + Bills Payable = Trade Payables.

Q42 easy direct Tools of financial analysis — common-size statements

Answer: (C) Revenue from operations

Why: A common-size statement converts every figure into a percentage of a common base so that firms or years can be compared. For the Statement of Profit and Loss the base is Revenue from operations (= 100). For the balance sheet the base is total assets (or total of equity and liabilities).

Why not the others:

(A) Net profit is itself one of the items being expressed.

(B) Total assets is the base for a common-size balance sheet.

(D) Shareholders' funds is never used as the base.

Key point: Income statement base = Revenue from operations; balance sheet base = Total assets.

Q43 medium numerical Liquidity ratios — quick ratio

Answer: (B) 1.5 : 1

Given: Current assets ₹3,00,000; inventory ₹60,000; prepaid expenses ₹15,000; current liabilities ₹1,50,000.

Formula: Quick ratio = Quick assets ÷ Current liabilities, where Quick assets = Current assets – Inventory – Prepaid expenses

Step 1: Quick assets = ₹3,00,000 – ₹60,000 – ₹15,000 = ₹2,25,000

Step 2: Quick ratio = ₹2,25,000 ÷ ₹1,50,000 = 1.5 : 1

Common mistake: Deducting only the inventory gives 1.6 : 1 (A); 2 : 1 (C) is the current ratio; deducting only the prepaid expenses gives 1.9 : 1 (D).

Q44 medium match-list Accounting ratios — classification

Answer: (D) (A)-(III), (B)-(IV), (C)-(II), (D)-(I)

Why:

(A) Interest coverage measures the ability to pay interest on long-term debt → solvency (III).

(B) Trade receivables turnover measures how fast receivables are collected → activity (IV).

(C) Current ratio measures short-term debt-paying ability → liquidity (II).

(D) Return on investment measures the return earned on capital employed → profitability (I).

Why not the others: (A) swaps the liquidity and solvency ratios; (B) swaps the activity and liquidity ratios; (C) swaps the solvency and profitability ratios.

Key point: Liquidity = short-term; solvency = long-term; activity = speed of use; profitability = return.

Q45 medium statements Cash flow statement — classification of activities

Answer: (C) (A), (B) and (C) only

Why:

(A) True — interest paid is a cost of raising funds, so for a non-financial company it is a financing outflow.

(B) True — dividend received is a return on investments → investing inflow.

(C) True — buying a non-current asset is an investing outflow.

(D) False — income tax paid is normally classified under operating activities, unless it can be specifically identified with financing or investing activities.

Why not the others: Options (A), (B) and (D) all include the false statement (D).

Key point: Non-financial company → interest/dividend PAID = financing; interest/dividend RECEIVED = investing; tax = operating.

Q46 medium numerical Solvency ratios — debt-equity ratio

Answer: (A) 0.8 : 1
Given: Debt (long-term borrowings) ₹4,00,000; Equity (shareholders' funds) = ₹3,00,000 + ₹2,00,000 = ₹5,00,000.
Formula: Debt-equity ratio = Long-term debts ÷ Shareholders' funds
Step 1: Ratio = ₹4,00,000 ÷ ₹5,00,000 = 0.8 : 1
Common mistake: Leaving out reserves gives ₹4,00,000 ÷ ₹3,00,000 = 1.33 : 1 (B). Inverting the ratio gives 1.25 : 1 (C). Dividing debt by (debt + equity) gives 0.44 : 1 (D), which is a different ratio.

Q47 medium numerical Activity ratios — inventory turnover ratio

Answer: (D) 6 times
Given: Revenue ₹8,00,000; GP 25% of revenue; opening inventory ₹90,000; closing inventory ₹1,10,000.
Formula: Inventory turnover ratio = Cost of revenue from operations ÷ Average inventory
Step 1: Gross profit = 25% × ₹8,00,000 = ₹2,00,000; Cost of revenue = ₹8,00,000 − ₹2,00,000 = ₹6,00,000
Step 2: Average inventory = (₹90,000 + ₹1,10,000) ÷ 2 = ₹1,00,000
Step 3: Ratio = ₹6,00,000 ÷ ₹1,00,000 = 6 times
Common mistake: Using revenue instead of cost gives 8 times (A). Revenue ÷ closing inventory gives 7.27 times (B). Cost ÷ closing inventory gives 5.45 times (C).

Q48 medium numerical Cash flow from operating activities — indirect method

Answer: (B) ₹2,10,000
Given: NPBT ₹2,00,000; depreciation ₹30,000 (non-cash); profit on sale of machinery ₹10,000 (investing item); receivables +₹25,000; payables +₹15,000.
Step 1: Operating profit before working-capital changes = 2,00,000 + 30,000 − 10,000 = ₹2,20,000
Step 2: Less increase in trade receivables (cash tied up) = −₹25,000
Step 3: Add increase in trade payables (cash retained) = +₹15,000
Step 4: Cash generated from operations = 2,20,000 − 25,000 + 15,000 = ₹2,10,000
Common mistake: Adding back the profit on sale instead of deducting it gives ₹2,30,000 (A). Ignoring working-capital changes gives ₹2,20,000 (C). Treating the increase in payables as an outflow gives ₹1,80,000 (D).

Q49 hard numerical Cash flow from investing activities — machinery account

Answer: (A) ₹1,75,000
Given: Opening ₹5,00,000; closing ₹6,00,000; depreciation ₹70,000; book value sold ₹40,000; sale proceeds ₹35,000.
Formula: Purchase = Closing balance + Depreciation + Book value of machinery sold − Opening balance
Step 1: Purchase = 6,00,000 + 70,000 + 40,000 − 5,00,000 = ₹2,10,000 (outflow)
Step 2: Sale proceeds = ₹35,000 (inflow; the loss of ₹5,000 is adjusted in operating activities)
Step 3: Net cash used = ₹2,10,000 − ₹35,000 = ₹1,75,000
Common mistake: ₹2,10,000 (B) shows only the purchase. Taking the book value of ₹40,000 as the sale proceeds gives ₹1,70,000 (C). Ignoring depreciation when finding the purchase gives ₹1,40,000 − ₹35,000 = ₹1,05,000 (D).

Q50 hard numerical Liquidity ratios — effect of a transaction on current ratio

Answer: (C) 2.8 : 1
Given: CA : CL = 2.5 : 1; working capital (CA – CL) = ₹1,80,000.
Step 1: CA – CL = 2.5 CL – CL = 1.5 CL = ₹1,80,000 → CL = ₹1,20,000; CA = ₹3,00,000
Step 2: Paying a creditor reduces BOTH: CA = ₹3,00,000 – ₹20,000 = ₹2,80,000; CL = ₹1,20,000 – ₹20,000 = ₹1,00,000
Step 3: New current ratio = ₹2,80,000 ÷ ₹1,00,000 = 2.8 : 1
Common mistake: Assuming the ratio is unchanged gives (A). Reducing only current assets gives 2,80,000 ÷ 1,20,000 = 2.33 : 1 (B). (D) comes from an arithmetic slip. Remember: when the ratio is above 1, paying a current liability increases it.

Q51 medium direct Structure of CAS — codification and hierarchy of account heads

Answer: (B) Codification of accounts
Why: Codification assigns structured numeric or alphanumeric codes to account heads, following the chart of accounts. Each level of the code shows a group, sub-group and ledger account, so the software can sort, retrieve and summarise data quickly.
Why not the others:
(A) Data validation checks that input data is correct and complete.
(C) Back-up is a copy of data kept for safety.
(D) An audit trail is a record that traces each transaction to its source.
Key point: Chart of accounts + codification = the hierarchy of account heads in CAS.

Q52 easy direct Electronic spreadsheet — depreciation function

Answer: (D) =SLN()
Why: SLN(cost, salvage, life) returns the equal yearly depreciation under the straight-line method, i.e. (cost – salvage) ÷ life.
Why not the others:
(A) PMT calculates the periodic instalment of a loan.
(B) DDB calculates depreciation under the double-declining balance (written-down) method.
(C) NPV calculates the net present value of future cash flows.
Key point: SLN = straight line; DDB = double declining; PMT = loan instalment.

Q53 medium numerical Electronic spreadsheet — depreciation schedule

Answer: (A) 20,000
Given: Cost 1,10,000; salvage 10,000; life 5 years.
Formula: SLN = (Cost – Salvage) ÷ Life
Step 1: (1,10,000 – 10,000) ÷ 5 = 1,00,000 ÷ 5 = 20,000 per year
Common mistake: Ignoring the salvage value gives 22,000 (B). Deducting the salvage twice gives 18,000 (C). Adding the salvage instead of deducting it gives 24,000 (D).

Q54 medium match-list Types of computerised accounting systems and AIS

Answer: (C) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)
Why:
(A) Ready-to-use software is a low-cost, standard package with little training needed — suited to small businesses → (III).
(B) Customised software is a standard package adapted to the user's special needs → (II).
(C) Tailor-made software is built from scratch for a large organisation's unique needs → (I).
(D) An AIS collects, stores and processes accounting data to give useful information → (IV).
Why not the others: (A) reverses ready-to-use and tailor-made; (B) swaps customised and tailor-made; (D) swaps ready-to-use and customised.
Key point: Ready-to-use → customised → tailor-made means rising cost, rising flexibility and rising organisation size.

Q55 medium statements Advantages and limitations of CAS

Answer: (D) (A), (C) and (D) only
Why:
(A) True — speed is a key advantage of CAS.
(B) False — CAS still needs internal controls such as passwords, access rights, authorisation and audit trails, to prevent errors and fraud.
(C) True — once entries are made, reports are generated automatically and instantly.
(D) True — system failure, viruses or hardware damage can destroy data, so back-ups are essential (a limitation of CAS).
Why not the others: Options (A), (B) and (C) all include the false statement (B).
Key point: CAS is fast and accurate, but it depends on controls and back-ups.

Q56 medium direct Electronic spreadsheet — relative and absolute cell references

Answer: (B) =B3*C1
Why: B2 is a RELATIVE reference, so when the formula moves one row down, it changes to B3. C1 is an ABSOLUTE reference — the $ signs lock both the column and the row — so it stays as C1. This is how a fixed rate (such as a tax rate in C1) is applied to a whole column of values.
Why not the others:
(A) The relative reference would not stay as B2.
(C) The absolute reference C1 cannot change to C2.
(D) Copying down a column does not change the column letters.
Key point: $ locks a reference; references without $ adjust when copied.

Q57 easy direct Electronic spreadsheet — pivot table

Answer: (C) Summarise and analyse large data by grouping it
Why: A pivot table quickly groups, totals, counts and averages large data sets — for example, total sales by region and month — without writing formulas. This makes it useful for preparing accounting reports.
Why not the others:
(A) Password protection is a sheet- or workbook-protection feature.
(B) Spelling checks are done with the spell-check tool.
(D) PDF conversion is done with the Save As/Export option.
Key point: Pivot table = fast summary report from raw data.

Q58 hard numerical Electronic spreadsheet — loan repayment schedule (PMT)

Answer: (A) ₹57,619
Given: Principal ₹1,00,000; rate 10% p.a.; 2 annual payments at the end of each year.
Formula: Instalment = P × r ÷ [1 − (1 + r)^(−n)]
Step 1: (1.10)^(−2) = 1 ÷ 1.21 = 0.826446
Step 2: 1 − 0.826446 = 0.173554
Step 3: Instalment = 1,00,000 × 0.10 ÷ 0.173554 ≈ ₹57,619
Check: Year 1 interest ₹10,000, principal repaid ₹47,619, balance ₹52,381; Year 2 interest ₹5,238 + principal ₹52,381 = ₹57,619 ✔
Common mistake: ₹55,000 (B) adds simple average interest to equal principal. ₹60,500 (C) splits the compound amount ₹1,21,000 in two. ₹50,000 (D) ignores interest altogether.

Q59 medium direct Electronic spreadsheet — common errors

Answer: (D) #REF!
Why: #REF! means the formula has an invalid cell reference — usually because a referenced row, column or cell was deleted, or the formula was pasted where its references no longer exist.
Why not the others:
(A) #VALUE! appears when the wrong type of data is used, for example adding text to a number.
(B) #NAME? appears when Excel does not recognise a function or range name, such as a misspelt function.
(C) #DIV/0! appears when a number is divided by zero or by an empty cell.
Key point: Deleted reference → #REF!; wrong data type → #VALUE!; unknown name → #NAME?; division by zero → #DIV/0!.

Q60 hard numerical Electronic spreadsheet — payroll

Answer: (B) ₹64,800
Given: Basic ₹40,000; DA 50% of basic; HRA 20% of (basic + DA); PF 12% of (basic + DA).
Step 1: DA = 50% × ₹40,000 = ₹20,000; Basic + DA = ₹60,000
Step 2: HRA = 20% × ₹60,000 = ₹12,000
Step 3: Gross salary = ₹40,000 + ₹20,000 + ₹12,000 = ₹72,000
Step 4: PF = 12% × ₹60,000 = ₹7,200
Step 5: Net salary = ₹72,000 − ₹7,200 = ₹64,800
Common mistake: ₹72,000 (A) is the gross salary before the PF deduction. Calculating PF on basic pay only (₹4,800) gives ₹67,200 (C). ₹60,000 (D) leaves out both HRA and PF.